

1. Industrial Policy — Evolution

Policy	Key Points
IPR 1948	Mixed economy accept; industries 4 categories mein baanti gayi
IPR 1956	" Economic Constitution of India " · <u>Schedule A = 17</u> (State exclusive), <u>Schedule B = 12</u> (State progressive), <u>Schedule C = private</u> · Mahalanobis / 2nd FYP ka base
IPR 1977	Small-scale focus; Cottage / Tiny / Small-scale; DIC ki sthapna
IPR 1980	Economic Federalism, nucleus plants, sick unit revival
NIP 1991 (24 July)	LPG Reforms — De-licensing (aaj sirf 4 industries), PSU reservation 17 → aaj sirf 2 (Atomic energy, Railway operations), MRTTP 1969 → Competition Act 2002 , FERA → FEMA 1999 , FDI 51% automatic, Disinvestment shuru

Recent: Make in India (2014) · NMP 2011 (NIMZ) · Startup India · Atmanirbhar Bharat (2020) · **PLI — 14 sectors** · PM Gati Shakti · National Logistics Policy 2022

2. MSME Sector

- **MSMED Act 2006** — pehli baar "**Enterprise**" shabd (manufacturing + services dono)
- **2020 Revision** — manufacturing/service ka distinction **khatm**; **composite criteria = Investment AND Turnover**
- **2025 (Budget)** — limits enhance: Micro Rs.2.Scr / Rs.10cr · Small Rs.25cr / Rs.100cr · Medium Rs.125cr / Rs.500cr
- **Contribution:** GDP ~30% · Exports ~45% · employment mein agriculture ke baad doosra sabse bada
- **Udyam Registration Portal** (2020) — PAN/Aadhaar based, paper-free
- **Schemes:** PMEGP, CGTMSE (collateral-free), PMMY/MUDRA, ECLGS, RAMP, ZED, TReDS, Sec 43B(h) — 45-din payment rule
- **Problems:** credit gap, delayed payment, technology obsolescence, informality, "**Dwarfism**" (Eco Survey 2018-19)

3. Foreign Trade — Trends

Ratne Wale Facts

- Trade balance hamesha deficit — sirf **2 surplus years: 1972-73 aur 1976-77**
- CAD surplus years: 2001-02 to 2003-04, aur **2020-21** (COVID)
- **CAD highest = 4.8% of GDP (2012-13)**; safe threshold ~2.5%
- Trade-GDP ratio: ~15% (1990-91) → ~45% aaj

Aspect	Pehle	Aaj
Export Composition	Tea, jute, cotton, spices (agri ~50%+)	Engineering goods (#1), petroleum products (~13-15%), gems & jewellery, pharma, chemicals · Manufactured ~70%, Agri ~11%
Import Composition	Foodgrains, capital goods	POL ~25-28% (sabse bada) , gold, electronics, coal, edible oil
Direction	UK / Europe / Commonwealth dominant	Asia-centric (~50%) · USA = <u>only major surplus partner</u> · China = <u>largest deficit partner</u>

Key insight: Import basket **price-inelastic** (crude + gold) → oil price badhte hi CAD automatic badhta hai = **oil shock vulnerability**. Services surplus + remittances (India = **world's No.1 remittance recipient**) merchandise deficit offset karte hai.

4. BOP & The 1991 Crisis

BOP Formula: Merchandise deficit (bada) – Invisibles surplus (services + remittances) = **CAD** → Capital Account surplus (FDI + FPI) se finance hota hai.

1991 BOP Crisis – Most Asked

Causes: Gulf War 1990 oil shock · fiscal deficit ~8% of GDP · debt-service ratio ~35% · NRI deposits outflow · **reserves = sirf 2 weeks ke imports** · credit rating downgrade

Response: 47 tonnes gold pledged (Bank of England + Union Bank of Switzerland) · IMF loan ~\$2.2 bn · **Two-step devaluation, July 1991 (~18-19%)** · LPG reforms

Committees: Rangarajan (BOP / exchange rate) · Chelliah (tax) · Narasimham (banking)

Taper Tantrum 2013: US Fed taper → FPI outflow → rupee 68/\$ → FCNR(B) swap scheme (Raghuram Rajan) + gold import duty badhai.

5. Trade & Exchange Rate Reforms

- Peak customs duty **150% (1991)** → ~10-15%; QRs 2001 tak fully khatm
- EXIM Policy → FTP; **FTP 2023 = no sunset date**, MEIS → RoDTEP, target **\$2 trillion exports by 2030**

Year	Exchange Rate System
1947 – 1971	Fixed / Par value with Pound Sterling (Bretton Woods)
1971 – 1975	Pegged to Pound Sterling
1975 – 1992	Pegged to basket of currencies (managed float)
March 1992	LERMS — dual rate (60% market : 40% official)
March 1993	Unified market-determined rate
August 1994	Current Account Convertibility (IMF Article VIII)
Ab tak	Managed float / "dirty float" — RBI sirf volatility curb karta hai, koi target level nahi

Yaad Rakho

3 Devaluations: 1949 (30.5%) · 1966 (36.5%) · 1991 (~19%) | **Devaluation/Revaluation** = deliberate;

Depreciation/Appreciation = market

NEER vs REER — REER inflation-adjusted; REER > 100 = rupee overvalued | **CAC:** Tarapore Committee I (1997) & II (2006) — India mein **abhi tak full CAC nahi**

6. India & WTO

- India = **GATT 1947 founding member** + **WTO founding member (1 Jan 1995)**; Uruguay Round → Marrakesh Agreement
- AoA 3 pillars:** Market access, Domestic support, Export subsidy — India ka MSP **Amber Box** mein, **10% de-minimis** limit ka problem
- TRIPS:** India ne **product patent 2005** se accept kiya; **Section 3(d)** = anti-evergreening (Novartis-Glivec case 2013 India jeeta)
- TRIMS:** solar case (2016) mein India **haar gaya** | **GATS:** India **Mode 4** liberalisation chahta hai
- Peace Clause + TFA = Bali 2013 (MC9); Nairobi 2015 (MC10)** = export subsidy elimination in agriculture
- MCI Singapore 1996** (Singapore Issues — India ne oppose kiya) · **Doha 2001** = DDA · **Cancun 2003** collapse (G-20 bloc) · **MC12 Geneva 2022** (fisheries) · **MC13 Abu Dhabi 2024**
- Appellate Body paralysis** Dec 2019 se (USA ki wajah se) — India ne **MPIA join nahi kiya**
- India ki demands:** permanent solution to public stockholding, SSM, e-commerce moratorium khatm karo

7. Trade Agreements & FDI

Hierarchy: PTA < FTA < CECA/CEPA < Customs Union < Common Market < Economic Union

- **India ka pehla FTA = Sri Lanka (2000)**; SAFTA 2006; Singapore CECA 2005; Korea CEPA 2010; Japan CEPA 2011
- **UAE CEPA 2022** (88 din mein — fastest) • **Australia ECTA 2022** • **EFTA TEPA 2024** — \$100 bn binding investment commitment

RCEP Withdrawal — Nov 2019 (VERY Important)

(1) China se trade deficit badhne ka dar • (2) **base year 2014** rakha gaya (India ne 2019 maanga) • (3) loose Rules of Origin → China backdoor via ASEAN • (4) dairy sector threat (NZ/Australia) • (5) auto-trigger safeguard nahi mila • (6) Mode 4 / services mein India ko kuch nahi • (7) NTBs pe koi commitment nahi

FTA Critique: utilisation rate sirf ~25% • ASEAN/Korea/Japan FTA ke baad India ka deficit badha • **CAROTAR 2020** — RoO misuse rokne ke liye

FDI — Key Points

FDI	FPI
Lasting interest, ≥10% equity , management control, stable long-term , technology transfer	<10% , no control, volatile "hot money" , sirf capital

- **Routes:** Automatic (no approval) vs Government — **FIPB abolished 2017**, ab DPIIT / Foreign Investment Facilitation Portal
- **Caps:** Insurance **100%** (Budget 2025) • Defence 74% auto • Telecom 100% • **Multi-brand retail 51% (govt route)** • Print/broadcast news 26% • Private bank 74% • PSB 20%
- **E-commerce:** Marketplace model **100%**; **Inventory model 0% (banned)**
- **Prohibited:** lottery, gambling, chit fund, Nidhi, real estate business, tobacco mfg, atomic energy, railway operations
- **Press Note 3 (April 2020)** — land-border sharing countries (China, Pak, Bangladesh, Nepal, Bhutan, Myanmar, Afghanistan) se FDI **sirf Government route**
- **Top sources:** Mauritius, Singapore, USA, Netherlands, Japan → **treaty shopping / round-tripping** problem, **GAAR 2017** se control

8. Poverty — Committees & Estimates

Committee	Contribution
Dandekar & Rath (1971)	Calorie approach ke <u>pioneer</u> — 2250 kcal
Alagh (1979)	Official calorie norm: 2400 kcal rural / 2100 kcal urban
Lakdawala (1993)	State-specific poverty lines; CPI-AL (rural) & CPI-IW (urban)
Tendulkar (2009)	Calorie anchor <u>chhoda</u> , MRP • Rs.27 rural / Rs.33 urban per day • Poverty 21.9% (2011-12) • Official estimate yahi hai
Rangarajan (2014)	Calorie <u>wapas laaya</u> • Rs.32 rural / Rs.47 urban • Poverty 29.5% • Govt ne accept NAHI kiya

Trend: 45.3% (1993-94) → 37.2% (2004-05) → **21.9% (2011-12)**. Uske baad koi official NSSO estimate nahi (2017-18 survey junk ki gayi). **HCES 2022-23** naya data — methodology change se comparison problematic.

Schemes: MGNREGA 2005 (legal right, 100 days, demand-driven) • NFSA 2013 • PMAY • PM-KISAN • NRLM • **JAM trinity + DBT**

9. MPI & HDI (Latest Data)

Multidimensional Poverty Index

- **UNDP + OPHI**, launched **2010** (HPI ko replace kiya) • Methodology = **Alkire-Foster**
- **3 Dimensions, 10 Indicators**: Health (Nutrition, Child Mortality — 1/6 each) • Education (Years of Schooling, School Attendance — 1/6 each) • Standard of Living (6 indicators — 1/18 each)
- **Cutoffs**: **20% = Vulnerable** • **33.33% = Multidimensionally Poor** • **50% = Severe**
- **Formula**: $MPI = H \times A$ (H = Incidence "kitne poor hai" • A = Intensity "kitne poor hai")

Global MPI 2025 — "Overlapping Hardships: Poverty and Climate Hazards"

109 countries, 6.3 bn population → **1.1 billion (18.3%) acute multidimensional poverty mein** • 501 mn severe poverty mein • bachche global poor ka 51%

India: poverty **55.1% (2005-06) → 16.4% (2019-21)** • India ke ~99% poor climate-vulnerable regions mein • 83%+ poor rural areas mein

National MPI (NITI Aayog): **12 indicators** — Global ke 10 + Maternal Health + Bank Account; data = NFHS • **25.01% (2015-16) → 14.96% (2019-21)**, ~13.5 crore log bahar

Kerala = India ka pehla extreme-poverty-free state (Nov 2025)

Human Development Index

- **Mahbub ul Haq** ne HDR shuru ki (**1990**); base = **Amartya Sen ka Capability Approach**; publisher **UNDP**
- **Goalposts**: Life expectancy 20-85 • MYS 0-15 • EYS 0-18 • GNI pc 100-75,000
- **Dimension Index** = $(\text{Actual} - \text{Min}) / (\text{Max} - \text{Min})$; Education Index = arithmetic mean of MYS & EYS index; **HDI = geometric mean of 3 dimension indices**
- **Geometric mean kyun?** Imbalance ko **penalise** karta hai — income se health/education compensate nahi ho sakta. (2010 se; pehle arithmetic mean)
- **Categories**: Very High ≥ 0.800 • High 0.700-0.799 • **Medium 0.550-0.699** • Low < 0.550

HDR 2025 — "A Matter of Choice: People and Possibilities in the Age of AI"

India: Rank **130 / 193** • HDI value **0.685 (2023)**, pehle **0.676 (2022)** • **Medium category** — 2022 mein rank 133 tha • Life expectancy **58.6 (1990) → 72 years (2023)** — index ki shuruat se highest • MYS 3.0 → 6.2 yrs • EYS 8.2 → 13 yrs • GNI pc ~\$2,000 → ~\$9,000

Biggest Critique: **inequality ki wajah se India ka HDI 30.7% girta hai** — region ke highest losses mein se ek

Neighbours: China 78, Sri Lanka 89, Bhutan 125 > India 130 = Bangladesh 130 > Nepal 145, Myanmar 150, Pakistan 168 • Top: Iceland (0.972), Last: South Sudan (0.388)

Index	Kya Measure Karta / Note
IHDI (2010)	Inequality-adjusted HDI; gap = "loss due to inequality"
GDI (1995)	Female HDI ÷ Male HDI — ye ek RATIO hai, index nahi
GII (2010)	Reproductive health + Empowerment + Labour market; value zyada = inequality zyada (HDI ke ULTA) ; India ~108th • GEM ko replace kiya
PHDI (2020)	Planetary pressures-adjusted (CO ₂ + material footprint)

Replacements yaad rakho: **HPI → MPI (2010)** | **GEM → GII (2010)**

10. Unemployment

Type	Meaning
Structural	Economy ka structure aur skills match nahi — long term
Frictional	Job change ke beech temporary gap — unavoidable
Cyclical	Recession se demand kam — Keynesian unemployment
Disguised	Marginal Productivity = ZERO ; zyada log lage hai par output nahi badhta — <u>Indian agriculture ka classic problem</u>
Seasonal / Open / Voluntary / Underemployment	Kuch mahine hi kaam · padhe-likhe berozgaar · prevailing wage pe kaam nahi karna · skill se kam kaam

India ka asli problem: open unemployment **kam**, lekin **disguised + underemployment bahut zyada** → isliye ye "employment problem" hai, "unemployment problem" nahi.

Measurement (NSSO / PLFS)

Concept	Reference Period	Captures
UPS	365 days, majority time	Chronic / open unemployment
UPSS	365 days + 30-day subsidiary work	Sabse kam rate
CWS	7 days; 1 hour/day for 1 day = employed	Intermediate
CDS	Each half-day of 7 days	Sabse comprehensive — underemployment bhi

Rate Order (favourite question)

UPSS < UPS < CWS < CDS (reference period jitna chhota, unemployment utna zyada)

LFP = (Employed + Unemployed) / Population | **WPR** = Employed / Population | **UR** = Unemployed / LABOUR FORCE (population nahi!)

PLFS 2017-18 se shuru — EUS ko replace kiya; quarterly urban + annual; 2025 se monthly. **Trends:** UR ~3.2% (UPSS 2023-24) · Female LFP sharp rise (mostly unpaid family work — critique) · youth/graduate unemployment high.

11. Inequality

- Lorenz Curve** — X: cumulative % population, Y: cumulative % income; **45° line = perfect equality**; curve jitna door, utni inequality
- Gini Coefficient** = area between Lorenz & equality line ÷ total area under equality line; range **0 (equality) to 1 (inequality)**
- Others:** Theil (decomposable) · Atkinson (welfare/normative) · Palma (top 10% / bottom 40%) · Kuznets ratio · CV
- Kuznets Inverted-U:** development ke early stage mein inequality **badhti**, peak ke baad **ghatti**. **Criticism:** East Asia ka "growth with equity", aur **Piketty** ($r > g$)
- India ka contradiction:** consumption Gini **kam** (~0.30-0.35) lekin income/wealth Gini **bahut zyada** — kyunki rich ka MPC low hai aur surveys rich ko under-capture karte hai. Top 1% ka wealth share ~40% ("**Billionaire Raj**")
- Causes:** unequal land/asset distribution, informal sector, jobless growth, regressive indirect tax vs low direct tax base, **estate duty (1985) & wealth tax (2015) abolished**

Common Traps — Exam Se Pehle Dekh Lena

- IPR 1956: **Schedule A = 17, Schedule B = 12** — ulta mat karna
- RCEP base year = **2014** (2019 nahi)
- FIPB abolished 2017; Press Note 3 = 2020** — dono alag saal
- MPI: **33.3% = poor, 50% = severe** — ye confuse hota hai
- E-commerce: marketplace **100%**, inventory **0%**
- Exchange rate order: **Devaluation 1991 → LERMS 1992 → Unified 1993 → CAC 1994**
- GII mein high value = **kharab**; GDI ek **ratio** hai